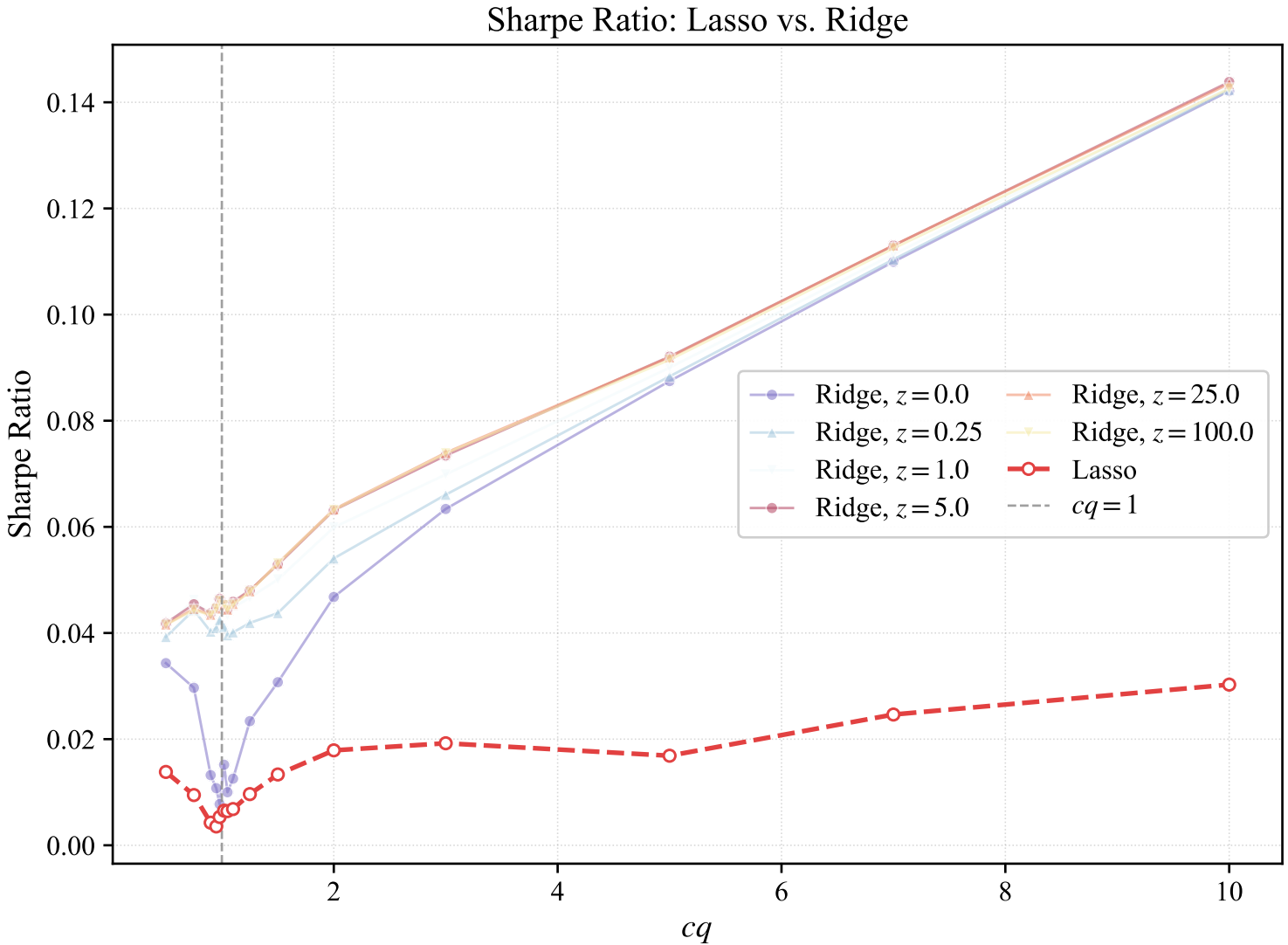
Sharpe Ratio: Lasso vs. Ridge
Sharpe Ratio
0.14
0.12
0.10
0.08
0.06
0.04
0.02
0.00
2
4
6
8
10
cq
Ridge, z = 0.0
Ridge, z = 0.25
Ridge, z = 1.0
Ridge, z = 5.0
Ridge, z = 25.0
Ridge, z = 100.0
Lasso
cq = 1